Board of Education
Budget Update



PORTLAND
Public Schools

March 10, 2026

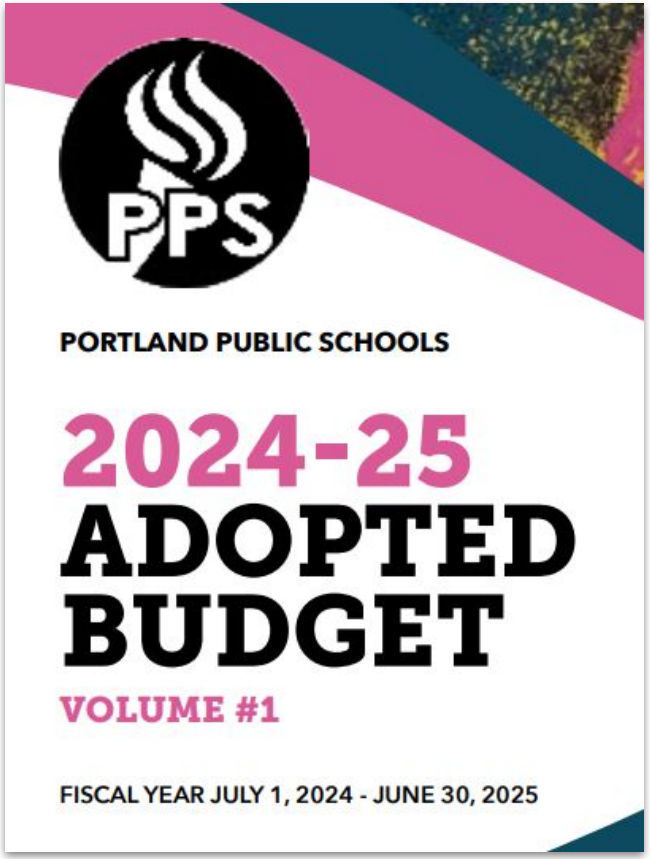
Agenda

- Review 2024-25 Budget Message
- Use of Fund Balance and ESSER Funds
- Current State
- Next Steps



Review 2024-25 Projections (4/24/2024 Mtg)

- Newly implemented Contracts implemented fall of 2023 (retro to prior year)
- $30 million Reductions required
- Planned use of fund balance
- Operations formerly supported by ESSER Funds
- Shared by Supt. Sandy Husk and Interim CFO Myong Leigh



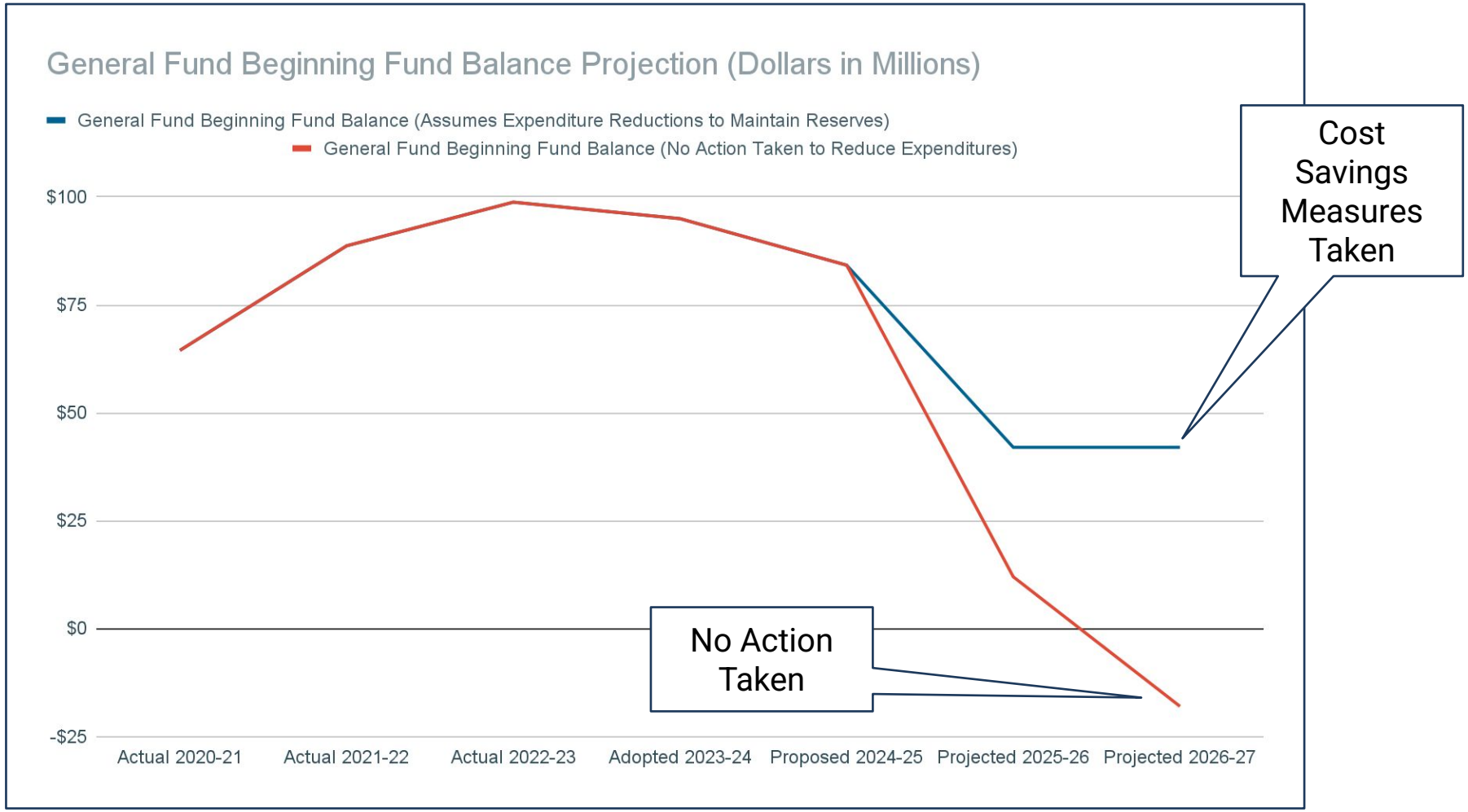
24-25 School-Based + Central FTE Reductions

Staff Type	FTE	Savings (in millions)
Licensed Educators	**113.6**	**$15.2**
Non-licensed Staff	**76.8**	**$9.2**
Administrators	**13.9**	**$2.9**
Total FTE	**204.3**	**$27.3**
Purchased Services and Supplies	**N/A**	**$2.6**
Total	**204.3**	**$29.9**

See notes from prior pages.

24-25 General Fund: Projected Reserves

- Cost savings measures are needed to maintain minimum (5%) reserve levels required by Board policy
- Otherwise, reserves would be depleted by 2025-26



Reserves: A Household Example

	Year 1 2023-24	Year 2 2024-25	Year 3 2025-26
Savings - Start of Year	$10,000 (10%)	$7,000 (7%)	$5,000 (5%)
Annual Income (+)	$100,000	$100,000	$100,000
Annual Expenses (-)	$103,000	$102,000	$100,000
Savings - End of Year	$7,000	$5,000	$5,000

24-25 Multi-Year Forecasts ($ millions)

2023-24: $84.2M ending balance estimate reflects: latest SSF revenue adjustments, mid-year cost savings and ESSER spend-down.

2024-25: Proposed budget reflects $30M of reductions and using $41.5M in reserves, ending slightly above 5% per Board policy.

2025-26: $40M+ in additional revenues and/or cost reductions will be needed to maintain a 5% reserve.

	Estimated 2023-24	Proposed 2024-25	Projected 2025-26
Beginning Balance	$105.5	$84.2	$42.7
Total Revenue (+)	$749.7	$768.9	$785.1
Total Expenses (-)	$771.0	$810.4	$826.6
Net (Revenue - Expenses)	-$21.3	-$41.5	-$41.6
Tap / Use Reserves	$21.3	$41.5	$1.1
Gap Closing Needed	***N/A***	***N/A***	***$40.3***
Projected Ending Balance	$84.2	$42.7	$41.5*

*** 5% minimum threshold per Board policy**

Review 2025-26 Budget Assumptions

"Bridging the Gap: Contingencies and Risks"

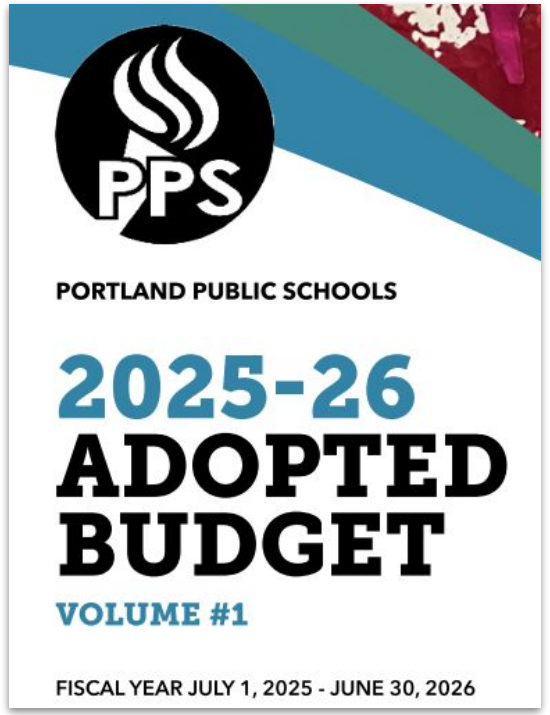
(April 22, 2025 Budget Proposal)

Given the significant budget gap we are facing, it may be necessary to:

- ➔ Maintain a minimal General Fund reserve
- ➔ Draw from the PERS Stabilization Fund (Fund 225)
- ➔ Implement spending restrictions
- ➔ Restrict Central Office hiring

To shield schools from the impacts of reductions as much as possible, we are willing to take these risks.

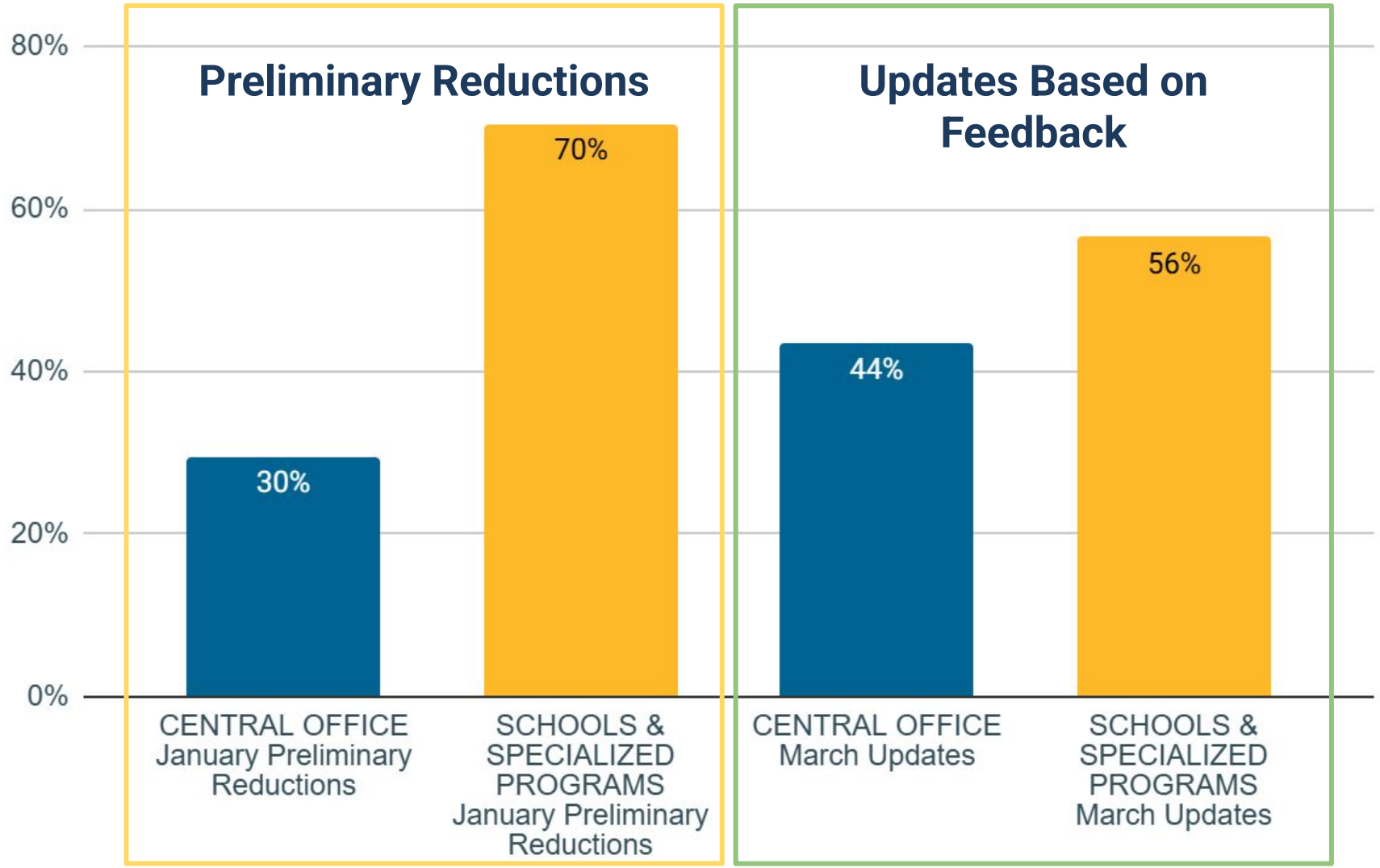
The budget is a *plan*, if our situation changes, this plan would also change.



4/22/2025 Board Meeting Video Link

2025-26 Proposed Reductions As of March 2025

TOGETHER, WE RISE

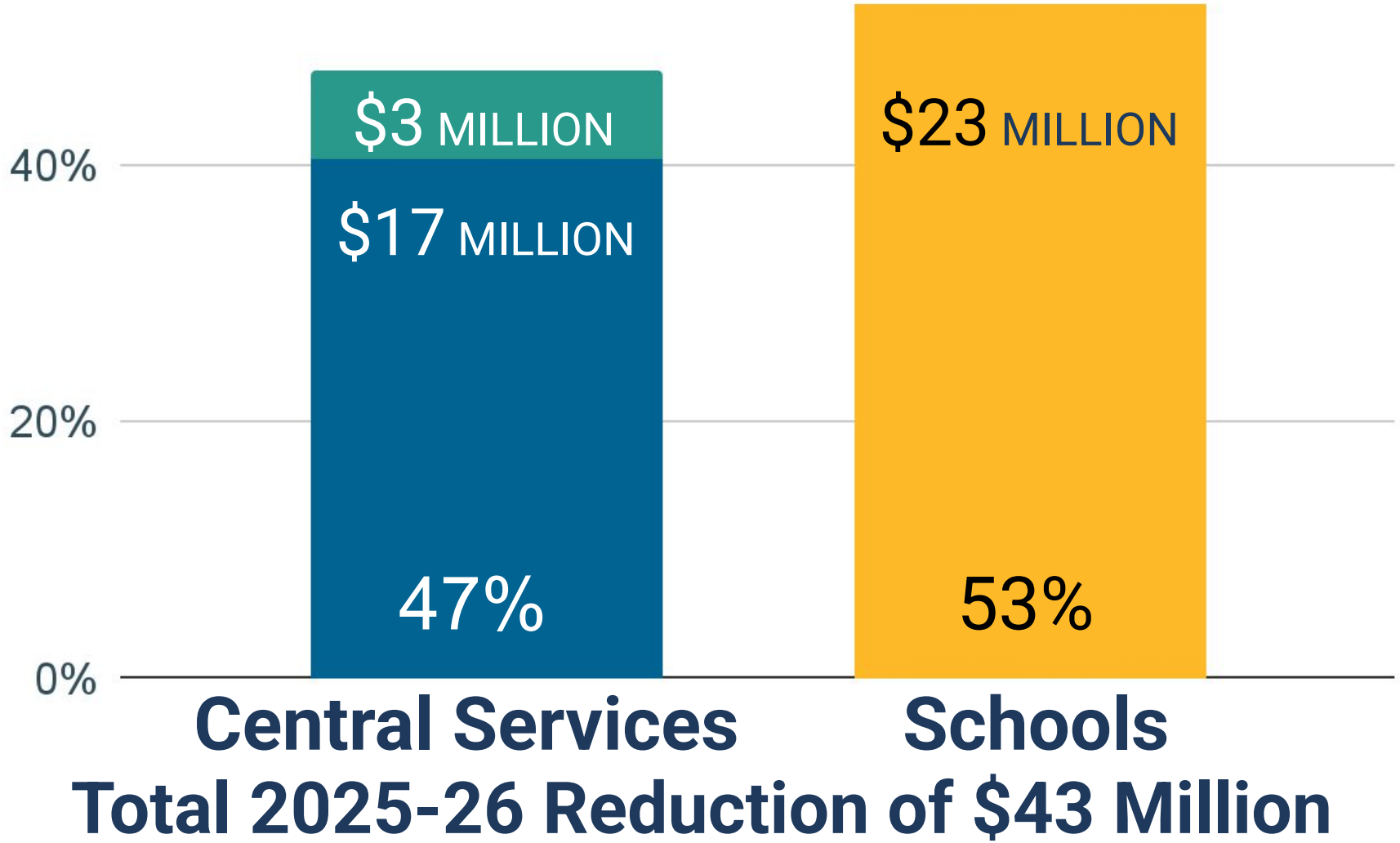


TOTAL ESTIMATED REDUCTION $40 MILLION

DRAFT: Estimates are preliminary.

25-26 Planning for the Future

TOGETHER, WE RISE

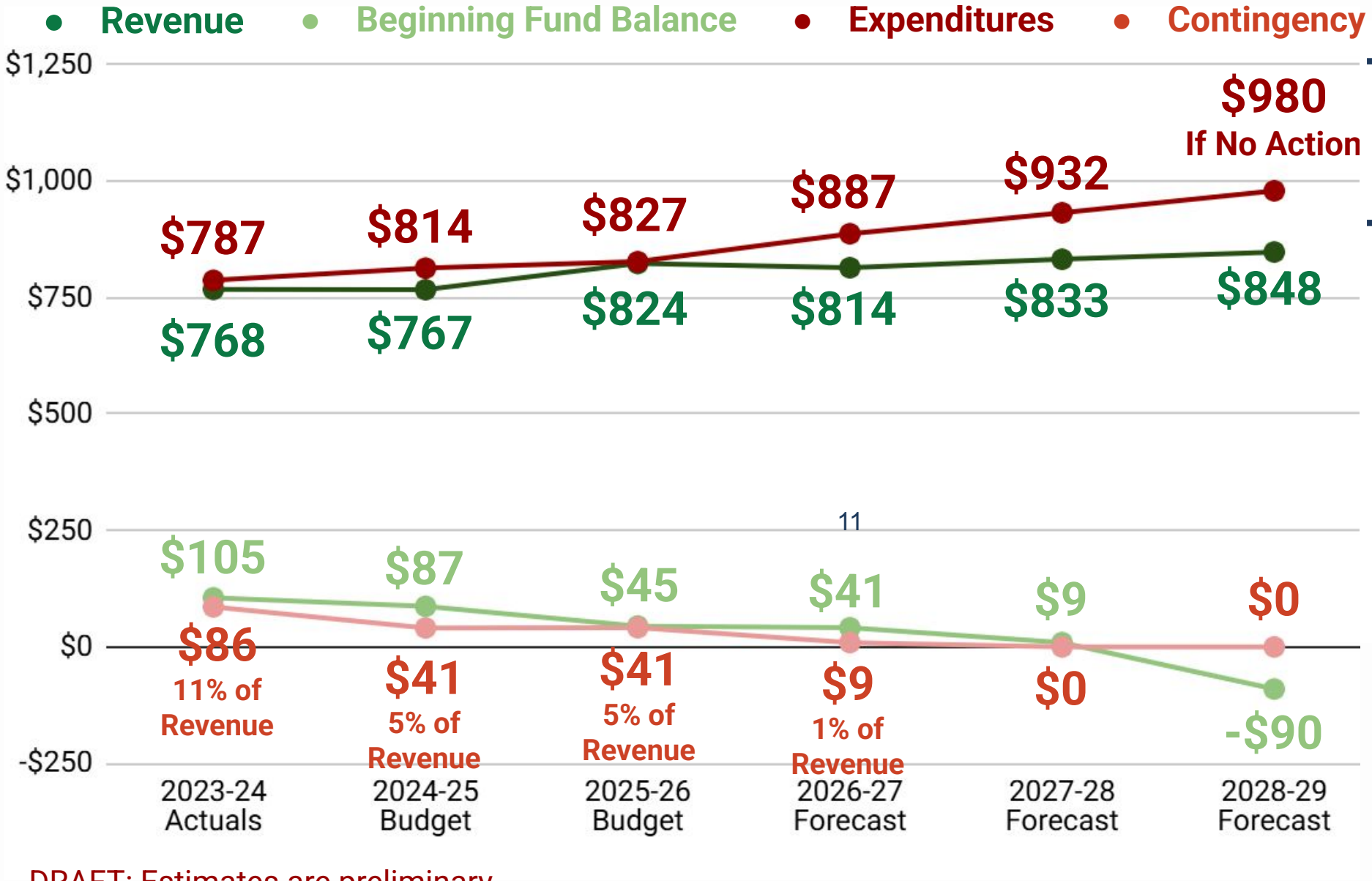


Total 2025-26 Reduction of $43 Million

- ➔ $3 Million in Additional Central Office Reductions to Lessen Impact in 2026-27
- ➔ 2026-27 Reductions Estimated at $32 Million

DRAFT: Estimates are preliminary.

2025-26 Projected General Fund (In Millions)



- Expenses are increasing while revenue declines.
- If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

25-26 Proposed Reductions

TOGETHER, WE RISE

Category	Description	Projected Savings	Position Change
Central Office	Classified Staff	900,000	7
	Senior Leadership Staff	1,500,000	6
	Licensed Staff	600,000	4
	Non-Represented Staff	400,000	3
	Administrator	400,000	2
	Grant Program Ending (Match Requirements)	700,000	1
	Central Office Travel	200,000	0
	Facilities Services Reduction	200,000	0
	Let's Talk Contract	100,000	0
	Non-Personnel	800,000	0
	Personal Services (Contracts)	3,400,000	0
	Professional Development (Reduce Four Teacher Professional Learning Days)	2,200,000	0
	Racial Equity & Social Justice Partnership Contracts 5% Reduction	400,000	0
	Security (Reduce Campus Safety Associate Overtime)	300,000	0
	Transportation - Limit Charter Bus Use	100,000	0
	Central Office Total	**$12,200,000**	**23**

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25-26 Proposed Reductions

TOGETHER, WE RISE

Category	Description	Projected Savings	Position Change
Elementary School	Kindergarten Educational Assistants at class size of 20 in Title I schools only (Classified Staff Reduction) (39% reduction)	1,200,000	18
	Licensed and Classified Staff Reduction Due to Enrollment Decline	800,000	6
	Reduce K-5 International Baccalaureate Programming	500,000	3
	Elementary School Total	**$2,500,000**	**27**

Category	Description	Projected Savings	Position Change
High School	High School Staffing Formula Increase By One Student	2,800,000	20
	Discontinue High School "Targeted School Improvement" Staffing Allocation	2,100,000	15
	High School Total	**$4,900,000**	**35**

Category	Description	Projected Savings	Position Change
K-8 School	Licensed and Classified Staff Reduction Due to Enrollment Decline	1,200,000	8
	K-8 School Total	**$1,200,000**	**8**

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25-26 Proposed Reductions

TOGETHER, WE RISE

Category	Description	Projected Savings	Position Change
Middle School	Remove Dual Language Immersion Supplemental Staffing	1,400,000	10
	Reduce Title I Supplemental Staffing	800,000	6
	Licensed and Classified Staff Reduction Due to Enrollment Decline	200,000	1
	Middle School Total	**$2,400,000**	**17**

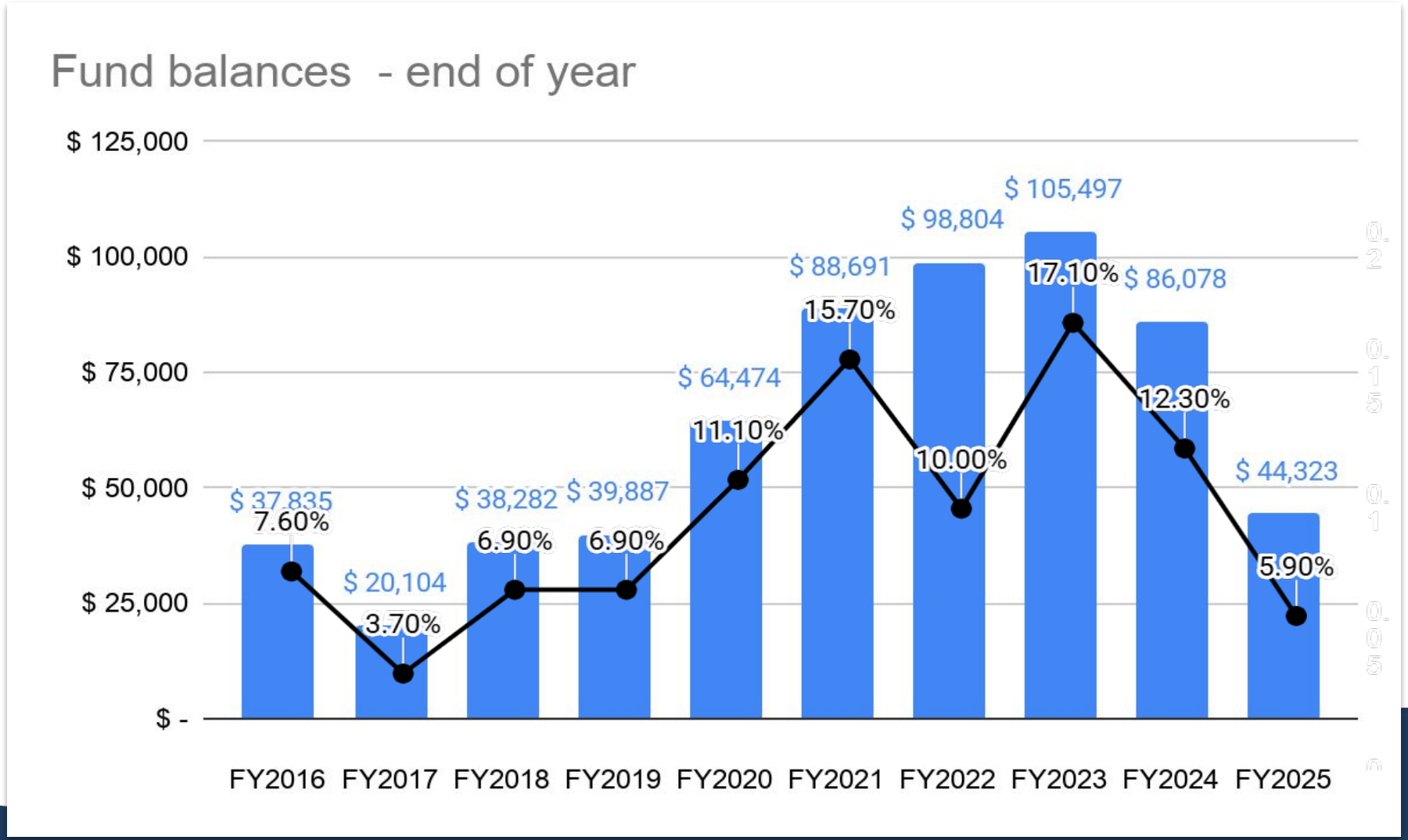
Category	Description	Projected Savings	Position Change
Multiple School Levels	Reduce Licensed Supplemental Staff (Instructional Coach, Interventionists, Social Emotional Supports, School Site Instructors) (40% reduction)	10,400,000	69
	Program Balancing Pool of Licensed Staff	2,500,000	20
	Program Balancing Pool of Administrators	2,800,000	14
	Program Balancing Pool of Licensed Staff (Southeast Guiding Coalition)	1,400,000	10
	Multiple School Levels Total	**$17,100,000**	**113**

Category	Description	Projected Savings	Position Change
Specialized Programs	Multilingual Learners Staffing (ELD)	1,000,000	7
	Specialized Programs Total	**1,000,000**	**7**

Grand Total		**$41,300,000**	**228**

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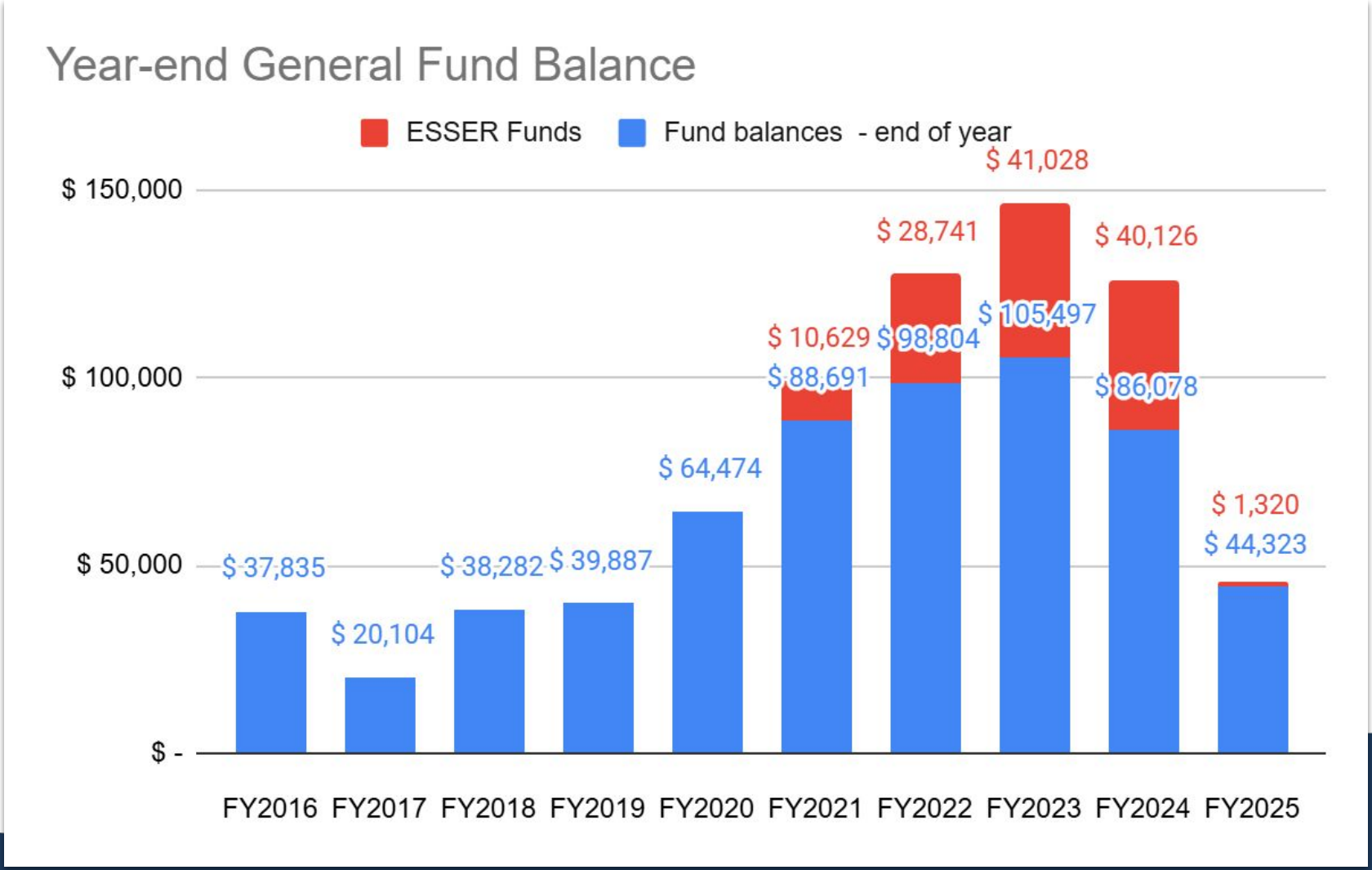
Fund Balance Decline



Blue Column = General Fund End Balance

Black Line = General Fund Balance as a percentage of of the budget

Fund Balance and ESSER Funds



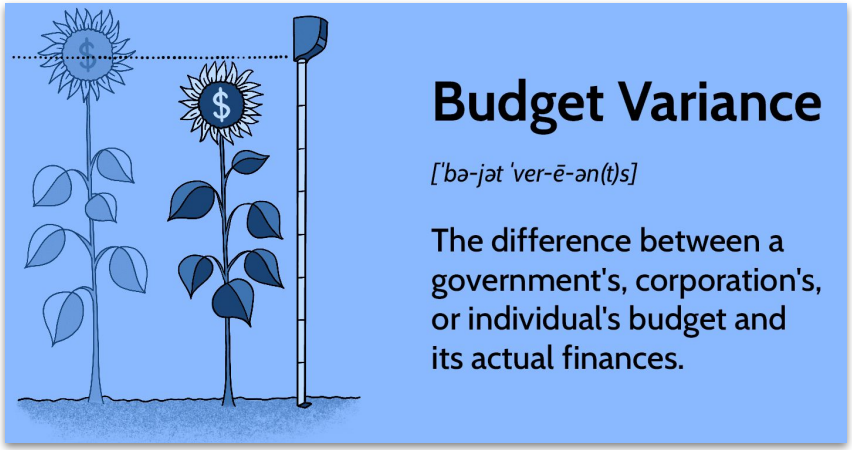
IN ADDITION TO GF Fund Balance, Spending was supported by ESSER Funds from FY21-24

ESSER I	$8,354,389
ESSER II	$32,836,859
ESSER III	$73,869,717
Other ESSER Grants	$6,783,344
2021-2024 ESSER Funds	**$121,844,309**

Variances since Budget Adoption

The primary drivers include the following:

- Vacancy savings not materializing at projected levels
- Higher transportation and maintenance costs
- Unanticipated costs stemming from multiple federal lawsuits
- Services restored during the year without full offset reductions (teacher set-aside, legal requirements)
- $5 million shortfall in the Local Option Levy due to declining commercial property values within the district.
- Expenditures of $2.5 million for seven emergency facility declarations

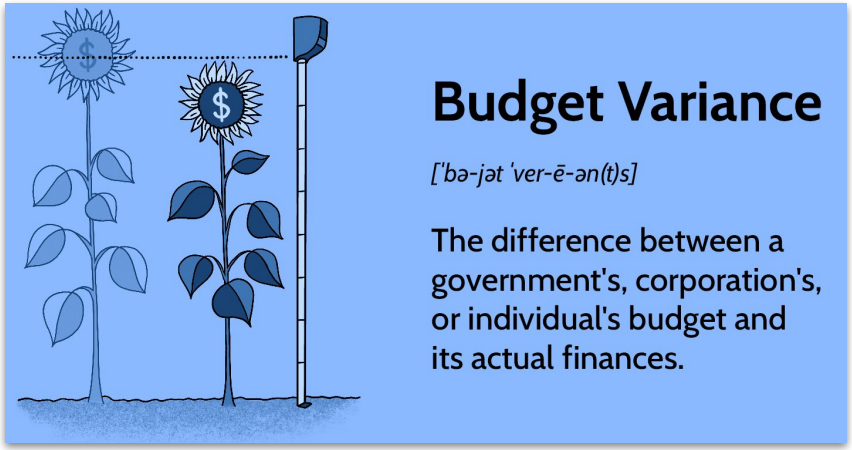


2/24/2026 Board Meeting Video Link

25-26 Variances since Budget Adoption

The primary drivers include the following:

- Services restored during the year without full offset reductions
  - Teacher Set-aside/Vacancy savings not materializing at projected levels - $12 M
  - Higher transportation $5.5 M
  - Higher maintenance (including emergency declarations) costs $6 M
- Shortfall in the Local Option Levy due to declining commercial property values within the district $5 M
- *Some overages have been offset by reimbursements or savings in other areas* and are currently estimated to be $6M



2/24/2026 Board Meeting Video Link

Mitigation Plan and Impact to Schools

Immediate spending controls to close this gap before June 30:

- Continued spending controls on all budgets (consolidated, general fund, federal funds, and state funds)
- Limit substitute and overtime use
- Conduct additional operational expenditure reviews
- Evaluate other balancing strategies
- Cancel the March 2 Professional Development Day (non school day) for designated CSI and TSI schools.
- Cancel ILT days in June




QUESTIONS